

SOFTWARE QUALITY ASSURANCE

CHAPTER 5. CONTRACT REVIEW

Chapter Roadmap — 8 Parts

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Introduction — The CFV Project

The CFV Project: Overview

- CFV was a mid-sized information-system project commissioned to replace a manual records process with a networked application.
- The proposal was drafted under schedule pressure, with limited input from the technical team that would ultimately deliver the work.
- It is the case Galin uses to open this chapter a project that was eventually completed, but only after paying a steep price in schedule, budget, and morale.
- The chapter's title comes from its ending: a completion celebration that arrived far later, and at far greater cost, than anyone had planned for.

Timeline: What Went Wrong

- **At proposal stage:** customer requirements were accepted largely as stated, without probing for the underlying need behind the request.
- **At contract signing:** schedule and cost figures carried over from the draft proposal without re-verification, even after negotiated scope changes.
- **Mid-project:** the team discovered the customer's real requirement differed from what was documented, triggering significant rework.
- **Near delivery:** the project finally reached completion — months late and substantially over its original budget.

The Cost of Skipping Review

What an unreviewed proposal and an unreviewed contract ultimately cost the CFV Project.

Months

of schedule slippage
traced back to a
requirement discovered
too late

Rework

substantial re-engineering
once the real customer
need surfaced mid-
project

Budget

a significant cost overrun
measured against the
originally signed contract

Root Causes Behind the Overruns

- **Requirements:** customer needs were not fully clarified before commitments were made — the team built to the letter of the request, not its intent.
- **Estimation:** schedule and cost figures were carried forward without independent verification against comparable past projects.
- **Oversight:** no reviewer outside the proposal team challenged the assumptions before the proposal was submitted or the contract was signed.
- **Governance:** negotiated changes were absorbed into the final contract without anyone re-checking them against the original approved proposal.

PART 1 · CASE STUDY

What a Rigorous Review Would Have Caught

- A proposal draft review focused on requirements completeness would likely have surfaced the gap between the stated and the real customer need.
- A feasibility check on the estimates would have flagged the optimistic schedule before it hardened into a commitment.
- An independent reviewer, uninvolved in drafting, was positioned to ask the uncomfortable questions the original authors were too close to ask.
- A contract draft review would have caught the drift between what was negotiated and what was actually written into the signed agreement.

Lessons for Practitioners

- Contract review is cheapest exactly when it feels least necessary before problems exist and while changes are still easy to make.
- The CFV case is not about assigning blame; it is about the value of a second, independent look before commitments harden into contracts.
- Every objective covered in the parts that follow maps to a specific failure mode this case illustrates.
- The rest of this module builds, piece by piece, the review discipline that would have changed the CFV outcome.

The Contract Review Process & Its Stages

*Two checkpoints, at two different points of leverage,
asking the same underlying question.*

Why Are Two Review Stages Necessary?

Software contracts are not created in a single step. They evolve through several phases, beginning with the preparation of a proposal and ending with the signing of the final contract. During negotiations, customers often request changes to system requirements, budgets, schedules, responsibilities, or contractual terms.

If only one review is conducted before negotiations begin, many of these changes may never be evaluated. As a result, the supplier may unknowingly commit to unrealistic schedules, insufficient budgets, unclear responsibilities, or additional work that was never properly assessed.

By conducting **two independent reviews**, organizations ensure that both the **original proposal** and the **final negotiated** contract are technically feasible, financially realistic, legally correct, and consistent with customer expectations.

- A proposal can still be shaped freely before it reaches the customer — the first checkpoint protects that window of opportunity.
- Negotiation frequently changes scope, price, or schedule — the second checkpoint verifies the final contract still reflects a sound commitment.
- Skipping either stage leaves a gap: an unreviewed proposal risks an embarrassing or unrealistic offer; an unreviewed contract risks binding the organization to terms no one actually verified.

Overview of the Two Review Stages

Stage	Review Name		When Conducted	Primary Purpose
Stage 1	Proposal Review	Draft	Before submitting the proposal to the customer	Ensure the proposal is complete, feasible, realistic, and competitive.
Stage 2	Contract Review	Draft	After negotiations but before signing the contract	Ensure the final contract accurately reflects all negotiated agreements and can be successfully implemented.

Stage 1: Proposal Draft Review

The **Proposal Draft Review** is the first quality assurance checkpoint. It is conducted after the proposal has been prepared but before it is submitted to the customer.

At this stage, the supplier has complete flexibility to modify the proposal. Reviewers evaluate whether the proposed technical solution satisfies the customer's requirements, whether the estimated budget and schedule are achievable, whether sufficient resources are available, and whether significant project risks have been identified.

Because no legal commitment has yet been made, corrections can be implemented quickly and at minimal cost.

Stage 1 — Inputs and Outputs

Inputs

- The draft proposal document itself
- Requirements notes and customer correspondence
- Cost and schedule estimate worksheets
- Preliminary risk notes from the proposal team

Outputs

- An approved proposal, cleared for submission
- A revision request, with specific findings to address
- An escalation note, if reviewers cannot reach agreement
- A documented record of the review itself, for later reference

Main Objectives

- Verify customer requirements.
- Assess technical feasibility.
- Review project scope.
- Evaluate estimated cost.
- Validate project schedule.
- Assess resource availability.
- Identify project risks.
- Improve proposal quality.

Stage 2: Contract Draft Review

The **Contract Draft Review** is conducted after negotiations have been completed but before the contract is officially signed. During negotiations, customers frequently request modifications to requirements, budgets, delivery dates, warranties, maintenance agreements, payment schedules, and acceptance criteria. These changes may significantly alter the original proposal.

The purpose of the second review is to ensure that every negotiated change has been correctly documented and that the supplier remains capable of fulfilling all contractual obligations.

Once the contract is signed, correcting mistakes becomes much more difficult, expensive, and legally complex.

Stage 2 — Inputs and Outputs

Inputs

- The negotiated contract draft
- The record of proposal-stage approval
- Negotiation minutes and a change log
- Legal and contracts staff input on terms

Outputs

- Signature clearance for the contract as drafted
- A list of specific clauses flagged for renegotiation
- An updated risk log reflecting any new terms
- A documented record of the review, for the project file

Main Objectives

- Verify negotiated changes.
- Confirm contractual obligations.
- Review legal terms.
- Validate project feasibility.
- Confirm budgets and schedules.
- Ensure resource availability.
- Verify acceptance criteria.
- Reduce legal and financial risks.

Comparison of the Two Review Stages

Aspect	Stage 1: Proposal Review	Stage 2: Contract Review
Timing	Before proposal submission	Before contract signing
Main Focus	Proposal quality	Contract accuracy
Customer Negotiation	Not yet completed	Already completed
Legal Commitment	None	Imminent
Main Risk	Unrealistic proposal	Incorrect contract
Cost of Changes	Very low	Moderate
Responsible Team	Technical reviewers	Technical, legal, management, and QA reviewers

Benefits of Having Two Review Stages

Implementing two review stages provides several important advantages:

- Improves proposal quality before submission.
- Detects unrealistic project estimates.
- Clarifies customer requirements.
- Reduces misunderstandings during negotiations.
- Ensures negotiated changes are accurately documented.
- Prevents contractual inconsistencies.
- Minimizes project risks.
- Reduces cost overruns.
- Improves customer confidence.
- Increases the probability of project success.

Example

A software company submits a proposal to develop an **E-Commerce Platform** for an online retailer.

Stage 1 Review

The review team discovers that:

- The delivery schedule is unrealistic.
- Payment gateway integration has not been considered.
- Security requirements are incomplete.
- Two required developers are unavailable.

The proposal is revised before being submitted to the customer.

Negotiation

The customer requests:

- Mobile application support.
- Multi-language capability.
- AI-based product recommendations.
- Six months of free maintenance.

Stage 2 Review

Before signing the contract, reviewers verify that:

- The budget has been adjusted.
- The schedule has been extended.
- Additional developers have been assigned.
- Maintenance responsibilities are clearly defined.
- All negotiated changes appear in the contract.

Because of the second review, the supplier avoids committing to unrealistic obligations.

Consequences of Skipping Either Stage

If Stage 1 is Skipped	If Stage 2 is Skipped
Poor proposal quality	Incorrect contract terms
Unrealistic estimates	Missing negotiated changes
Weak feasibility analysis	Legal disputes
Poor risk identification	Scope misunderstandings
Resource shortages	Budget overruns
Low proposal competitiveness	Customer dissatisfaction

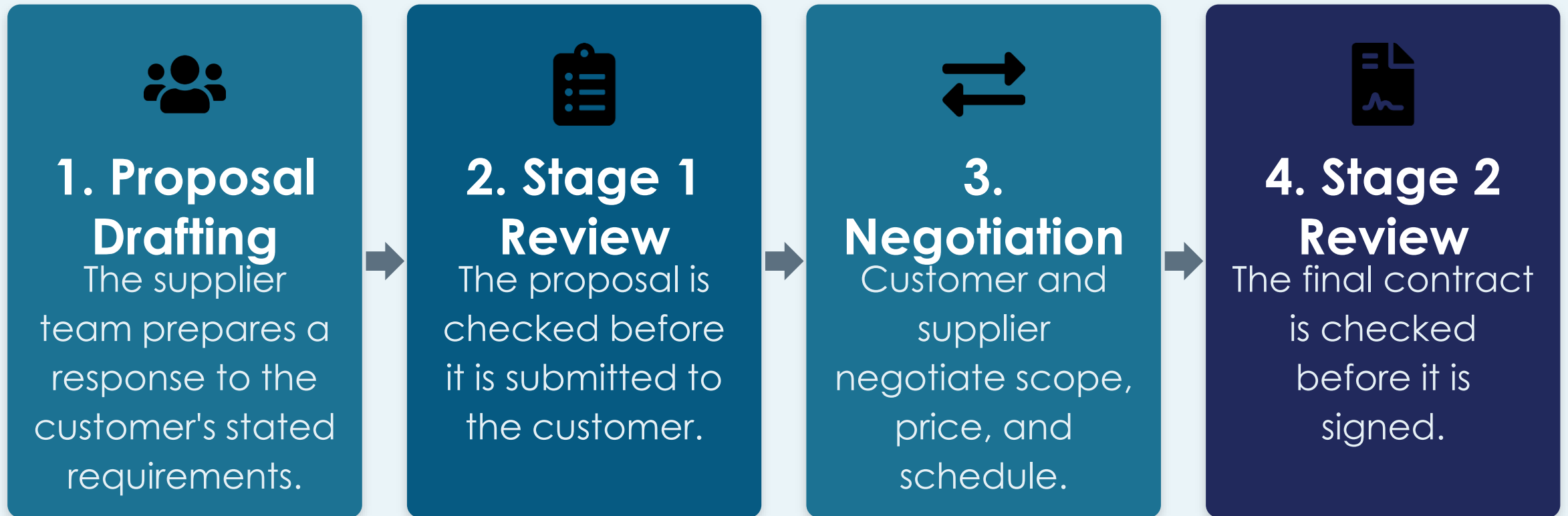
Contract review is divided into **two stages** because proposals often change during negotiations.

- Stage 1** focuses on improving the proposal before it reaches the customer.
- Stage 2** ensures that the final negotiated contract is complete, accurate, feasible, and legally sound.
- Conducting both reviews significantly reduces technical, financial, and contractual risks.
- The two-stage review process is a fundamental Software Quality Assurance practice that helps organizations deliver successful software projects.

PART 2 · PROCESS

End-to-End Process Flow

From first draft to signed contract — four steps, two of them formal review checkpoints.



Stage 1 vs. Stage 2 at a Glance

	Stage 1 — Proposal Review	Stage 2 — Contract Review
Trigger	Proposal drafted, not yet submitted	Contract negotiated, not yet signed
Primary question	Can we stand behind this offer?	Does the contract match what we approved?
Typical reviewers	Technical lead, PM representative	Above, plus legal / contracts staff
Consequence of skipping	Unrealistic or embarrassing proposal sent	Organization bound to unverified terms

Timing and Triggers for Reviews

- Before a proposal is submitted to the customer the standard Stage 1 trigger.
- After negotiation concludes, **before** the contract is signed the standard Stage 2 trigger.
- When a significant change is proposed to an existing, already-signed contract.
- As part of periodic internal project governance, for internally funded work without an external contract.

Common Process Pitfalls

- Treating the review as a formality — rubber-stamping a document without genuinely testing its assumptions.
- Reviewing only the proposal, and assuming the negotiated contract needs no second look.
- Skipping the review under deadline pressure — precisely the moment it is most needed.
- Allowing the same person who wrote the proposal to also serve as its sole reviewer.

PART 3 OF 8

Contract Review Objectives

The six things every contract review — at either stage — is ultimately trying to verify.

A software contract is much more than a legal agreement between a customer and a software supplier. It defines the scope of **work, customer expectations, project deliverables, quality requirements, budget, schedule, responsibilities, acceptance criteria, and contractual obligations.**

Any misunderstanding or omission in these areas can lead to project delays, budget overruns, software defects, legal disputes, and customer dissatisfaction.

The **Contract Review Objectives** represent the key goals that reviewers aim to achieve before approving a proposal or signing a contract. Rather than simply checking documents for errors, reviewers evaluate whether the proposed project is realistic, feasible, complete, and capable of meeting customer expectations.

Software Quality Assurance identifies **six primary objectives** of the contract review process. Together, these objectives help organizations reduce uncertainty, improve planning, minimize project risks, and establish a strong foundation for successful software development.

Overview of Contract Review Objectives

Objective	Purpose
1. Clarify Customer Requirements	Ensure customer needs are complete, clear, consistent, and measurable.
2. Examine Alternative Solutions	Evaluate different technical and managerial approaches before selecting the best solution.
3. Verify Project Feasibility	Confirm that the project can realistically be completed within the proposed budget, schedule, and available resources.
4. Identify Project Risks	Detect potential technical, financial, legal, operational, and managerial risks before project initiation.
5. Confirm Resource Adequacy	Verify that sufficient personnel, technology, infrastructure, tools, and finances are available.
6. Establish Project Control Capability	Ensure effective mechanisms exist for monitoring, reporting, controlling, and managing the project throughout its lifecycle.



OBJECTIVE 1

Clarify Customer Requirements

Confirming that what's written down is what the customer actually needs — not just what was easiest to write down.

WHY IT MATTERS

- Ambiguous requirements are the single largest source of late-stage rework.
- Customers often describe symptoms, not underlying needs — reviewers should probe past the literal request.
- A requirement neither side can test against later is not yet a usable requirement.

IN PRACTICE

Example: a requirement stated as 'the system should be fast' is not reviewable; a reviewer would push for a measurable response-time target instead.



OBJECTIVE 2

Examine Alternatives

Checking that the proposed technical and managerial approach was chosen deliberately, not by default.

WHY IT MATTERS

- A team's first idea is not always its best idea — review creates space to ask 'what else did we consider?'
- Comparing alternatives surfaces trade-offs in cost, risk, and schedule that a single approach can hide.
- Documenting why an alternative was rejected protects the team later if the choice is questioned.

IN PRACTICE

Example: choosing a familiar but heavier framework over a lighter one worth piloting — the review asks whether that trade-off was made consciously.



OBJECTIVE 3

Verify Feasibility

Testing whether the budget, schedule, and staffing figures in the proposal can actually be met.

WHY IT MATTERS

- Optimistic estimates are common when proposals are written under competitive or time pressure.
- Feasibility checks compare estimates against historical data from similar past projects.
- An infeasible commitment made today becomes an overrun discovered months later.

IN PRACTICE

Example: a six-week schedule for work the team has historically taken ten weeks to deliver should trigger a feasibility challenge before submission.



OBJECTIVE 4

Identify Project Risks

Surfacing what could go wrong — technical, resource, or contractual — while there is still time to plan for it.

WHY IT MATTERS

- Risks named during review can be mitigated, transferred, or priced in; risks discovered mid-project usually cannot.
- Reviewers bring an outside perspective that proposal authors, close to the work, may not have.
- A risk log created at review time becomes a baseline for tracking risk throughout the project.

IN PRACTICE

Example: dependency on a single, unconfirmed subcontractor is a risk worth flagging and addressing before signature, not after.



OBJECTIVE 5

Confirm Resource Adequacy

Verifying the organization genuinely has the infrastructure and qualified people the proposal assumes.

WHY IT MATTERS

- Proposals are sometimes written assuming resources that are, in practice, already committed elsewhere.
- Infrastructure gaps tools, environments, licenses are easy to overlook until work actually starts.
- Resource adequacy review protects both this project and the other work competing for the same people.

IN PRACTICE

Example: assuming three senior developers are available full-time, when two are already committed to another active project.



OBJECTIVE 6

Establish Control Capability

Making sure the supplier organization can actually monitor and steer the project once it is underway.

WHY IT MATTERS

- A good plan without a way to track progress against it offers a false sense of security.
- Control capability includes reporting cadence, milestone definitions, and escalation paths — not just a schedule.
- Without this, deviations are discovered late, when they are hardest and most expensive to correct.

IN PRACTICE

Example: a proposal with no defined milestone-reporting mechanism gives the project team no early-warning system if things start slipping.

PART 3 · OBJECTIVES

How the Objectives Interrelate

- These six objectives are not independent checklist items — they feed each other in practice.
- Clarifying requirements is what makes a feasibility check meaningful; you cannot verify an estimate against a target no one has defined.
- Identifying risk and confirming resource adequacy overlap heavily — many resource gaps are simply risks that haven't been named yet.
- Establishing control capability is what turns the other five objectives from a one-time check into an ongoing safeguard.

Implementation of a Contract Review

Who performs the review, how it is structured, and how findings get documented and acted on.

A contract review is only valuable when it is conducted using a **structured, systematic, and documented process**. Simply reading a proposal or contract without following an organized review procedure often leads to overlooked risks, incomplete requirements, unrealistic schedules, and contractual misunderstandings. The **implementation of a contract review** refers to the practical activities required to prepare for, conduct, document, and follow up on the review. It involves selecting qualified reviewers, collecting relevant project documents, evaluating technical and business information, recording findings, and making informed decisions before approving or rejecting a proposal or contract.

An effective implementation process ensures that every software project is evaluated consistently, objectively, and according to organizational quality standards. It transforms contract review from an administrative task into a critical Software Quality Assurance (SQA) activity that prevents project failures before development begins.

Who Performs the Review : Independence Principle

- Reviewers should include staff not directly involved in preparing the proposal — an independent perspective catches what authors overlook.
- Independence doesn't mean unfamiliarity: effective reviewers still understand the domain, just not the specific document under review.
- The person accountable for delivering the project can contribute context but should not be the sole reviewer of their own commitments.

Review Team Composition

- A technical lead, to assess feasibility of the proposed approach and estimates.
- A project management representative, to assess schedule, resourcing, and control capability.
- Legal or contracts staff, especially for Stage 2, to assess liability and obligations.
- A quality assurance representative, to ensure the review itself follows a consistent, repeatable process.

Formal vs. Informal Reviews

Formal Review

- Used for large projects or external, high-value contracts
- A designated review board or panel convenes
- Minutes and findings are formally recorded
- Sign-off is a distinct, documented step

Informal Review

- Used for small, low-risk, or internal projects
- A single reviewer or peer conducts the check
- Findings may be captured in a brief note or email
- Approval is lightweight, but still explicit

The Review Meeting — Agenda & Mechanics

- Walk through the requirements section first — this is the foundation everything else is checked against.
- Walk through the cost, schedule, and staffing estimates, comparing them to similar past projects where possible.
- Discuss identified risks explicitly, and invite reviewers to add risks the authors may have missed.
- Close by deciding an outcome: approve, send back for revision, or escalate — every review meeting should end with a clear decision.

Preparing for a Review — Inputs Checklist

- The draft document itself, circulated with enough lead time for reviewers to read it properly.
- Supporting estimation worksheets or historical data used to build the schedule and budget.
- Any customer correspondence that clarifies the original request.
- A record of prior reviews, if this is a revision rather than a first pass.

Documenting Findings

- A review that isn't written down effectively didn't happen — verbal-only findings get lost or disputed later.
- Each finding should be specific enough to act on: not 'the schedule seems tight' but 'the estimate assumes availability not confirmed with staffing.'
- A findings log with an owner and a due date turns a review from a conversation into a set of tracked commitments.

PART 4 · IMPLEMENTATION

Sign-off and Escalation

- Approval should be an explicit, attributable action — a named person or panel signing off, not a lack of objection.
- When reviewers disagree, the disagreement itself should be documented, not quietly resolved off the record.
- Escalation paths should be defined before they're needed — who decides when reviewers cannot reach consensus?

PART 4 · IMPLEMENTATION

Roles and Responsibilities

Role	Primary Focus	Typical Contribution
Technical Lead	Feasibility & approach	Assesses whether the estimate and method are realistic
PM Representative	Schedule & control	Checks milestones, reporting, and resourcing plans
Legal / Contracts	Obligations & liability	Reviews terms, warranty, and risk exposure
QA Representative	Process consistency	Ensures the review itself follows the standard method

PART 4 · IMPLEMENTATION

Common Implementation Pitfalls

- Assembling a review team too large or too senior for the project's actual risk level, slowing everything down.
- Conducting the review so late that findings arrive after the deadline for acting on them has already passed.
- Letting sign-off happen by default — silence is not the same as approval.
- Failing to close the loop: findings are raised, but no one confirms they were actually addressed before submission or signature.

PART 5 OF 8

Proposal Draft Review — Objectives in Depth

Six specific checks a reviewer applies before a proposal leaves the organization.



CONTRACT REVIEW PROCESS

From Customer Requirements to Contract Finalization



The **Proposal Draft Review** is the first formal quality assurance activity in the software acquisition process. It is conducted **after the proposal has been prepared but before it is submitted to the customer**. At this stage, the supplier has the opportunity to verify that the proposed solution is technically feasible, financially realistic, and aligned with the customer's business needs.

Unlike the **Contract Draft Review**, which focuses on the final negotiated agreement, the Proposal Draft Review concentrates on improving the quality of the supplier's initial offer. It helps detect ambiguities, unrealistic commitments, missing requirements, resource limitations, and technical risks before they become contractual obligations. Since no legal commitment has yet been made, corrections at this stage are relatively inexpensive and can significantly improve the proposal's quality and competitiveness. The Proposal Draft Review is built around **six key objectives**, each addressing a critical aspect of proposal quality.

Overview of Proposal Draft Review Objectives

Objective	Purpose
1. Requirements Complete and Unambiguous	Ensure all customer requirements are clear, measurable, complete, and consistent.
2. Addresses Real Customer Needs	Confirm that the proposal solves the customer's actual business problem.
3. Alternatives Properly Considered	Verify that different technical and managerial options were evaluated before selecting the proposed solution.
4. Risks Identified and Addressed	Ensure major technical, financial, resource, and schedule risks have been identified with mitigation strategies.
5. Estimates Are Realistic	Verify that project cost, schedule, and effort estimates are achievable.
6. Resources Are Available	Confirm that qualified personnel, tools, infrastructure, and technologies are available to execute the project successfully.



PROPOSAL CHECK 1 Requirements Complete & Unambiguous

Every requirement in the draft proposal can be read the same way by two different people.

WHY IT MATTERS

- Look for vague qualifiers such as ‘user-friendly’ or ‘robust’ without a measurable definition attached.
- Check for gaps — silence on a topic is often mistaken for ‘no requirement’ rather than ‘missing requirement.’
- Contradictions between sections of the same document are easy to miss without a dedicated read-through.

IN PRACTICE

Reviewer's question: ‘If I gave this requirement to two engineers separately, would they build the same thing?’



PROPOSAL CHECK 2

Addresses Real Customer Needs

The proposal solves the customer's actual problem, not just the literal request as written.

WHY IT MATTERS

- Requests are sometimes solutions in disguise — the underlying need may be broader or different than stated.
- Reviewers who weren't part of the original client conversations bring a useful outside read.
- Misalignment here is invisible until the delivered system meets the spec but disappoints the customer.

IN PRACTICE

Reviewer's question: 'What business outcome is the customer actually trying to achieve here?'



PROPOSAL CHECK 3

**Alternatives
Considered**

Properly

The proposal reflects a deliberate choice among viable approaches, not the first idea that came to mind.

WHY IT MATTERS

- Ask what was ruled out, and why — the absence of alternatives in a proposal is itself a finding.
- Look for evidence of a trade-off discussion, even if only briefly documented.
- This check protects against defaulting to ‘what we did last time’ without reconsidering fit.

IN PRACTICE

Reviewer's question: ‘What was the next-best approach, and why didn't we choose it?’



PROPOSAL CHECK 4

Risks Identified & Addressed

Foreseeable risks are named in the proposal, along with a plan for each.

WHY IT MATTERS

- A proposal with no risk section for a non-trivial project is itself a red flag.
- Check that identified risks have an owner and a response, not just a description.
- Reviewers should add risks the authors may have missed, given their outside vantage point.

IN PRACTICE

Reviewer's question: 'What are the three ways this project is most likely to go wrong — and what do we do about each?'

PROPOSAL CHECK 5

Realistic Resource, Schedule & Budget Estimates

The numbers in the proposal can be traced back to a defensible estimation method.

WHY IT MATTERS

- Estimates built on comparison to similar past projects are more trustworthy than ones built on hope.
- Check for contingency — an estimate with zero schedule or budget buffer is a warning sign.
- Compare estimated effort against the scope described elsewhere in the same document for consistency.

IN PRACTICE

Reviewer's question: 'Show me the past project this estimate was based on.'



PROPOSAL CHECK 6

Staff Qualifications Available

The people the proposal assumes will do the work are actually available and skilled for it.

WHY IT MATTERS

- Named individuals in a proposal should be confirmed as available for the proposed timeline.
- Skill assumptions — ‘the team knows this technology’ — should be checked, not assumed.
- Double-booking staff across multiple proposals is a common, avoidable failure mode.

IN PRACTICE

Reviewer's question: ‘Is this person named in another active proposal for the same period?’

PART 6 OF 8

Contract Draft Review — Objectives in Depth

Five specific checks a reviewer applies after negotiation, before the contract is signed.

The **Contract Draft Review** is the second and final review stage in the Software Quality Assurance (SQA) contract review process. It is conducted **after negotiations between the customer and the supplier have been completed but before the contract is signed.**

During negotiations, many aspects of the original proposal may change. Customers may request additional system features, revised delivery schedules, modified payment terms, new quality requirements, extended maintenance services, or updated acceptance criteria. These changes can significantly alter the project's scope, cost, risk, and resource requirements.

The purpose of the Contract Draft Review is to verify that the **final contract accurately reflects all negotiated agreements** and that the supplier is still capable of successfully delivering the project under the revised conditions. Unlike the Proposal Draft Review, which focuses on improving the supplier's offer, the Contract Draft Review focuses on confirming that the legally binding contract is complete, accurate, feasible, and free from inconsistencies before signatures are exchanged.

Objectives of the Contract Draft Review

The Contract Draft Review is built around **six major objectives**.

Objective	Purpose
1. Verify Contract Accuracy	Ensure the final contract correctly reflects all negotiated agreements.
2. Validate Scope, Cost, and Schedule	Confirm that project scope, budget, and timelines remain realistic after negotiations.
3. Confirm Roles, Responsibilities, and Obligations	Ensure both parties clearly understand their contractual responsibilities.
4. Review Legal and Contractual Terms	Verify legal compliance, liabilities, warranties, intellectual property, and dispute resolution clauses.
5. Verify Acceptance Criteria and Deliverables	Ensure deliverables and acceptance conditions are measurable and agreed upon.
6. Confirm Organizational Readiness	Verify that the supplier still possesses the necessary resources, infrastructure, and expertise to execute the contract successfully.



CONTRACT CHECK 1

No Unapproved Deviations

Everything in the final contract can be traced back to the reviewed proposal or an approved change.

WHY IT MATTERS

- Negotiations can quietly reshape scope, price, or schedule without anyone re-checking against the original review.
- A line-by-line comparison against the approved proposal is the most reliable way to catch drift.
- Unapproved deviations are how commitments the organization never actually reviewed end up signed.

IN PRACTICE

Reviewer's action: compare the contract's scope section, clause by clause, against the last approved proposal draft.

CONTRACT CHECK 2

Negotiated Changes Properly Authorized

Every change introduced during negotiation went through the same scrutiny the original proposal did.

WHY IT MATTERS

- Negotiated concessions — a shorter schedule, a lower price — carry the same risk as any other commitment.
- A negotiation log makes it possible to verify each change was deliberate and approved, not conceded under pressure.
- Without this check, negotiation becomes an unreviewed side-channel around the review process.

IN PRACTICE

Reviewer's action: request the negotiation minutes and confirm each material change has a documented approval.

CONTRACT CHECK 3

Obligations & Acceptance Criteria Detailed

Both parties' responsibilities and the definition of 'done' are spelled out, not implied.

WHY IT MATTERS

- Vague acceptance criteria create disputes at delivery — exactly when they are most costly to resolve.
- Obligations on the customer's side, such as data or timely feedback, are as important to specify as the supplier's.
- A contract silent on what happens if the customer is late tends to produce exactly that dispute.

IN PRACTICE

Reviewer's question: 'If we delivered exactly this document tomorrow, would both sides agree the work is complete?'

CONTRACT CHECK 4

Schedule, Price & Payment Terms Match

The numbers written into the contract are the numbers both sides actually agreed to.

WHY IT MATTERS

- Clerical drift between the negotiated agreement and the drafted contract happens more often than expected.
- Payment milestones should align with delivery milestones, not be copied blindly from a template.
- This is a final, literal check — not an opportunity to re-negotiate terms.

IN PRACTICE

Reviewer's action: verify every dollar figure and date in the contract against the final negotiation summary.

CONTRACT CHECK 5

Legal, Warranty & Liability Consistency

Legal terms in the contract are consistent with organizational policy and don't expose unplanned liability.

WHY IT MATTERS

- Warranty and liability clauses are often boilerplate — but boilerplate can still create exposure worth catching.
- Legal or contracts staff, not just technical reviewers, should weigh in on this objective specifically.
- Inconsistency with standard organizational terms should be a deliberate exception, not an oversight.

IN PRACTICE

Reviewer's action: route the liability and warranty clauses to legal or contracts staff for a dedicated pass.

PART 7 OF 8

Contract Review Subjects

The full checklist of issues a thorough review should examine, grouped by focus area.

Subject Group 1 — Customer & Requirements

- Customer requirements are documented and traceable back to the original source conversations.
- Formal aspects of the customer relationship — points of contact, approval authority — are clearly defined.
- Communication and reporting channels are agreed before work begins, not improvised once it starts.
- Assumptions made on the customer's behalf are explicitly listed, not buried in the body of the text.
- Any prior commitments made verbally during early discussions are captured in writing.

PART 7 · SUBJECTS

Subject Group 2 — Approach & Alternatives

- The technical approach and its alternatives were evaluated and documented, not chosen by default.
- Methodology and standards compliance is confirmed for the chosen approach.
- Development environment suitability — tools, platforms, licenses — is verified before commitments are made.
- Reuse of existing components or code is identified where applicable, rather than building from scratch unnecessarily.
- Integration points with customer or third-party systems are mapped in advance.

PART 7 · SUBJECTS

Subject Group 3 — Resources & Schedule

- Cost and schedule estimates are traceable to a defensible estimation method.
- Staffing and skill availability is confirmed with the actual resource owners, not assumed.
- Subcontractor and vendor commitments are documented and independently verified.
- Contingency exists in both the budget and the schedule, not just in one or the other.
- Resource conflicts with other active projects are checked before the estimate is finalized.

PART 7 · SUBJECTS

Subject Group 4 — Risk & Liability

- Identified project risks each have a named owner and a documented response plan.
- Legal and contractual liability exposure is reviewed, not left to standard boilerplate alone.
- Intellectual property terms are clear for both parties before work begins.
- Insurance and indemnification requirements are addressed where applicable to the project.
- Termination and dispute-resolution clauses are present, reasonable, and understood by both sides.

PART 7 · SUBJECTS

Cross-Cutting Subjects

- **Documentation quality:** is the proposal or contract itself clear enough to be properly reviewed at all?
- **Change-control process:** how will scope changes after signature be identified, evaluated, and approved?
- **Communication protocol:** who talks to whom, how often, and through what channel, once the project is underway?

PART 7 · SUBJECTS

Prioritizing Review Subjects

- Not every subject deserves equal scrutiny on every project — prioritize by impact and uncertainty.
- High impact combined with high uncertainty, such as an unproven technical approach, deserves the deepest review.
- Low impact combined with low uncertainty, such as a standard boilerplate clause, can be checked quickly and moved past.
- This prioritization is itself a judgment call worth documenting, so later readers understand why depth varied across the review.

Full Subjects Checklist Recap

The four focus areas, condensed to a single reference view.



Customer & Requirements

Documented needs, formal relationship, communication channels



Approach & Alternatives

Evaluated standards, methods, compliance, environment fit



Resources & Schedule

Traceable estimates, confirmed staffing, contingency



Risk & Liability

Owned risks, legal exposure, IP and dispute terms

PART 8 OF 8

Contract Reviews for Internal Projects

Adapting the same discipline when there's no external customer or signed contract.



Why Internal Projects Still Need Review

- Internal projects still consume budget, staff time, and organizational credibility — the same things external contracts protect.
- Without an external customer, there's a temptation to skip review entirely — this is precisely when scope creep goes unchecked.
- An internal 'customer,' such as another department or a product owner, still deserves clarified requirements and a realistic estimate.

PART 8 · INTERNAL PROJECTS

Scaling Down the Process

- Formal review boards become informal review meetings — but the same questions still get asked.
- A signed contract becomes a work order, charter, or internal memo — still worth a second look before it's approved.
- Documentation is lighter, but findings and approvals should still be written down somewhere, even briefly.

External vs. Internal Review

	External	Internal
Governing document	Signed contract	Work order / memo
Review body	Formal review panel	Peer or manager sign-off
Legal weight	Binding, enforceable	Organizational commitment
Rigor of estimate check	Formal, documented	Lighter, but still explicit

Worked Example — An Internal Project Review

- An internal tooling project, requested by another department, is reviewed informally by the requesting manager and a senior engineer.
- The review catches that the requested delivery date assumes a team member who is already committed elsewhere that month.
- The estimate is revised before work begins — avoiding a repeat of the CFV pattern, at a much smaller scale.
- The whole review takes twenty minutes and a short email summary — proportional rigor, not skipped rigor.

When to Formalize Anyway

- Budget or effort crosses an organizational threshold, even without an external customer.
- The project spans multiple departments with genuinely competing priorities.
- The outcome is strategically visible enough that failure would carry real organizational consequences.
- In these cases, treat the internal project with the same rigor as an external contract — the label ‘internal’ shouldn't determine the depth of review.

End of Chapter 5

Contract review is the discipline of testing a commitment before it becomes binding — twice: once as a proposal, once as a contract.

Next: Chapter 6 — Development and Quality Plans